

the stock for only \$1.25, he calculated that it would only have to increase to \$2.50 for Aaron to double his money. The caller practically assured Aaron the stock has “nowhere to go but up.”

Aaron got so caught up in the moment and the caller's persuasive abilities that he pulled out the credit card application he had just thrown away. Since Aaron didn't have the cash the caller needed, he decided he would take out a \$3,000 cash advance against this new credit card. After he made an easy thousand or two, he would then payoff the advance and close out the account.

This turned out to be a very bad idea. By the time he got his first performance statement, the oil field stock was worth only \$2,400. Aaron angrily called the “broker” phone solicitor who had another great idea. He said the stock was now at an even better price. If Aaron liked it at \$1.25 he should love it at \$1.00! So Aaron sent in another \$1,000 from a cash advance to his credit card and waited for the next monthly performance statement.

He couldn't believe his eyes! The value was only \$2,800 from his total investment of \$4,000! He had lost \$1,200 on something that sounded like easy money. The horror was not over yet. Aaron called the penny stockbroker and told him to dump his shares. He couldn't afford to lose any more money and keep paying credit card interest on something that was not going up in value.

The cold-caller's upbeat tune suddenly changed and now for some reason there were no buyers who wanted his stock. In addition, he had more bad news that the drilling that had looked so promising had come up dry, new plans were moving slowly, and so on. “But the value on my statement says my account is worth \$2,800, are you saying I can't get that if we sold today?” asked Aaron incredulously. The broker replied, “Actually, the value printed on the statement was eighty-two

